

Member ID: _____

Time: _____

Rank: _____



Payroll Accounting (125)

STATE 2025

Multiple Choice & Short-Answer Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short Answer (18 @ 2 points each) _____ (36 points)

Production Portion:

Job 1: Employer's Tax Liability (4 @ 5 points each) _____ (20 points)

Job 2: Time Card (14 @ 2 points each) _____ (28 points)

Job 3: Payroll Transactions (26 @ 1 point each) _____ (26 points)

TOTAL POINTS _____ **(150 points)**

Test Time: 60 minutes

General Instructions

You have been hired as a Payroll Clerk and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals
- Assume employees earn overtime at a rate of 1.5 times their pay for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$118,500 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% for Federal Unemployment Tax (\$7,000 ceiling)
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. Employers are required by law to furnish each employee with a statement of annual earnings and deductions by January 31. This form is called a _____.
 A. W-4
 B. W-2
 C. Form 941
 D. Form 1040 EZ

2. Madeline's salary for the year is \$62,340. What is Madeline's salary per pay period if she is paid bi-weekly?
 A. \$1,198.85
 B. \$2,397.69
 C. \$2,493.60
 D. \$2,597.50

3. The federal law that covers child labor, minimum wage, and overtime is the _____.
 A. Federal Insurance Contributions Act
 B. Equal Employment Opportunity Act
 C. Fair Labor Standards Act
 D. Federal Labor Standards Act

4. At Professional Business Associates, employees earn an hourly rate of \$11.20. They earn overtime for any hours they work over 40 hours in a week. The hours worked by an employee in one week is shown below. What was this employee's gross pay for the week?

DAY	HOURS
Monday	8 1/2
Tuesday	7 1/2
Wednesday	8 1/2
Thursday	9
Friday	9 1/2

- A. \$50.40
- B. \$448.00
- C. \$481.60
- D. \$498.40

5. The Salaries Expense account is debited for _____.
A. accumulated earnings
B. monthly earnings
C. net earnings
D. gross earnings
6. Unemployment taxes are paid by _____.
A. the employee
B. the employer
C. both the employee and the employer
D. government, employee and employer
7. If an employee is paid twice per month, this employee is said to be paid _____.
A. semiannually
B. biweekly
C. semi-monthly
D. monthly
8. A business form used to record all employees' payroll information for a pay period is called a(n) _____.
A. employee earnings record
B. Form 941
C. payroll register
D. payroll ledger
9. FIT is the acronym for _____.
A. Social Security Tax
B. Federal Income Tax
C. Federal Institution Tax
D. Medicare Tax
10. The form that new employees must complete before being paid that states their marital status and the number of withholding allowances, they are claiming is called a _____.
A. W-4
B. W-2
C. Form 941
D. Form 827
11. An employee who clocked in at 8:05 am and punched out at 6:33 pm and is *not* paid for their one-hour lunch, works how many hours?
A. 9 $\frac{1}{2}$ hours
B. 9 $\frac{3}{4}$ hours
C. 10 $\frac{1}{2}$ hours
D. 10 $\frac{3}{4}$ hours

12. When completing the entry to record the payment of salaries for the pay period, the amount credited to cash represents the _____.
A. employer's tax liability for the pay period
B. employees' gross earnings for the pay period
C. employees' net earnings for the pay period
D. Employer's salaries for that period
13. Which group of employees generally has the highest amount of federal income tax withheld?
A. Married, 2 exemptions
B. Single, 1 exemption
C. Married, 0 exemptions
D. Single, 0 exemptions
14. Social Security and Medicare taxes are paid by the _____.
A. employee only
B. employer only
C. employee and the employer
D. owner of the company
15. _____ - all deductions = Net Pay is a basic formula to determine net pay for each employee for each pay period
A. Non-taxable earnings
B. Yearly earnings
C. Gross earnings
D. Gross cumulative earnings
16. Health insurance, U.S. savings bonds, dental insurance, and savings deductions from an employee's gross earnings are examples of _____.
A. state deductions
B. federal deductions
C. voluntary deductions
D. involuntary deductions
17. Under the Fair Labor Standards Act, overtime pay is required by law for _____.
A. any hours worked in excess of 8 hours in one day
B. any hours worked in excess of 40 hours in a work week
C. all hours worked on holidays
D. all hours worked on Sundays

18. Until the amounts withheld from employees' gross earnings are paid by the employer, they are recorded as _____.
- A. assets
 - B. liabilities
 - C. expenses
 - D. revenue
19. Employees who are paid per item produced are paid on a _____.
- A. per diem basis
 - B. bonus plan
 - C. piece-rate plan
 - D. commission plan
20. Employees who are paid a percentage of their total sales are paid on a _____.
- A. piece-rate plan
 - B. per diem basis
 - C. salary plan
 - D. commission plan

SHORT ANSWER

1. Matthew works at a local factory. He is paid \$8.00 for each roll of paper that he completes and that passes inspection. Last week, Matthew completed 362 rolls of paper. All rolls passed inspection except for seven of them. How much in earnings did Matthew make last week?
- _____
2. Anna has been offered a new job that pays \$49,750 with these benefits: \$3,980 in pension contributions, \$450 in free parking, \$1,080 in paid vacation, \$1,560 in paid holidays, \$2,100 in health insurance, and \$400 in equipment. Anna's job expenses for the new job totals \$2,624. What are Anna's net job benefits?
- _____
3. Jared earns a salary plus bonus commission on his net sales and is paid bi-weekly. His regular salary is \$725 per week. He earns an extra 5% on all net sales over \$3,000 per pay period. During this pay period, he had gross sales of \$8,135 and sales returns of \$680. What are Jared's gross earnings for this pay period?
- _____

4. Sean earns an annual salary of \$54,600 for a 40-hour work week. Calculate what he receives in each of the following pay situations.

Semi-monthly _____

Bi-weekly _____

Weekly _____

Hourly pay rate _____

Overtime pay rate _____

5. John sells computer software for a computer firm. He is paid 4 percent commission on the first \$10,000 of sales, 6 percent on the next \$15,000, and 8 percent on sales over \$25,000 each pay period. What is John's commission on his pay period sales of \$42,400?

6. Beckford Manufacturing estimates that its office employees will earn \$86,000 next year and its factory employees will earn \$321,000. The firm pays the following rates for workers' compensation insurance: \$0.42 per \$100 of wages for the office employees and \$4.25 per \$100 of wages for the factory employees. Compute the estimated premiums for the office and factory employees.

Office employees _____

Factory employees _____

7. Romeo works two part-time jobs. At the first job, he makes \$19,340 yearly. At the second job, he makes \$10,760. How much will Romeo pay into Social Security and Medicare for the year?

Social Security _____

Medicare _____

8. Malcolm and 32 other employees work at a company with a profit-sharing plan. All employees share 15.8% of the company's annual profits. This year the company had an annual profit of \$592,500.

How much will go into the profit-sharing fund? a. _____

How much will each employee receive from the fund? b. _____

9. Willow has decided to deliver her local newspaper each morning to make money to help pay for her BPA trip next year. Willow has a route with 84 customers that she delivers seven days a week. The newspaper pays her \$.22 per paper she delivers. Willow's customers really like her because she gets there before 5:00 am every morning and tips her generously. Willow averages \$2.75 per customer in tips each week.

How much does Willow get paid from the newspaper each week? a. _____

How much does Willow average in tips a week? b. _____

If Willow saves 40 percent of the income she earns from the newspaper, how much will she have saved in a year for her BPA trip? c. _____

PRODUCTION PORTION

JOB 1—COMPUTING EMPLOYER'S TAX LIABILITY (20 Points)

The data below was collected from Professional Business Associates payroll records for the current pay period. The FUTA and SUTA taxable limits are on the first \$7,000 of gross wages earned in a year. Calculate the employer's FUTA, SUTA, Social Security, and Medicare liability for this pay period.

Employee	Cumulative Earnings	Current Pay Period Earnings
P. Scott	\$5,800	\$2,100
L. Sylvia	1,200	2,080
D. Boyd	4,813	2,380
A. Chartier	6,472	1,980
M. Benjamin	998	1,040

FUTA liability _____

SUTA liability _____

Employer's Social Security liability _____

Employer's Medicare liability _____

JOB 2—TIME CARD (28 Points)

Using the following time card, calculate the regular, overtime, and total earnings for Anthony White. Anthony takes a one hour lunch period each day he works more than six (6) hours. The company rounds time to the nearest quarter hour.

TIME CARD			
Employee No. 034760		Week Ending February 28, 2024	
NAME: Anthony White		EXEMPTIONS: 1	
MARITAL STATUS: Single		HOURLY RATE: \$16.50	
DAY	IN	OUT	HOURS
Monday	8:03 AM	5:42 PM	
Tuesday	7:58 AM	6:30 PM	
Wednesday	8:13 AM	6:55 PM	
Thursday	8:01 AM	6:00 PM	
Friday	8:00 AM	5:15 PM	
Saturday	8:00 AM	3:58 PM	
	HOURS	RATE	EARNINGS
Regular			
Overtime			
Totals			

In the table below are the totals from the payroll register for the current pay period ending on March 3, 2024. In the general journal provided, journalize the payroll transactions for the employees' salary expense and the employer's payroll taxes expense.

Gross Earnings	\$36,520.00
Federal Income Tax	7,130.00
Social Security Tax	2,264.24
Medicare Tax	529.54
Insurance Premiums	2,890.00
Union Dues	1,770.00
Net Pay	21,936.22

[illegible]